footprint through wide-ranging businesses for many years, is ultimately a U.S. issuer. Though bonds issued by GE (even those denominated in euros) were not included in the ECB buyback program, they were still swept tighter along with other euro-denominated bonds. GE senior notes denominated in USD traded at a spread 100 basis points wider than GE senior notes denominated in EUR (after accounting for the underlying currency and interest rate risk). Furthermore, the USD-denominated issue was priced about 6 points lower. An alert investor would readily conclude that these GE bonds were "definitely related," presenting the opportunity to invest in the undervalued USD bond and sell the EUR bond. Indeed, after only two months, the spread differential converged to 50 basis points and the price to within 1 point.

The law of one price is continually disrupted. In the summer of 2022, for example, a 10-year vanilla USD interest rate swap with identical terms traded at different rates in Chicago and in London. One of the trades from my earliest days in the markets that remains a source of opportunity is U.S. Treasury cash versus futures arbitrage. This type of basis trading involves a basket of U.S. Treasury bonds on a certain part of the curve hedged with a futures contract into which those bonds are deliverable. At any given time, one bond in the basket will be the cheapest to deliver into the futures contract, but relative price changes within the basket driven by changes in the shape of the yield curve or other idiosyncratic factors might make another bond the cheapest. When the futures contract is rich to the deliverable bond, a position that is short the futures contract and long the deliverable bond is poised to capture not only the pricing discrepancy, but also potential further gains should a different bond become cheapest to deliver. This trade also offers the optionality that it could be unwound before the delivery date if the relationship normalizes. It is particularly nice to put on a profitable trade with a definite